

The VIX Decomposition Explained — Using Today's Tape as the Textbook

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The VIX Decomposition Explained — Using Today's Tape as the Textbook

Tape grinds to a new ATH like we saw today. Most traders expect their calls to rip. Check the P&L — math doesn't add up.

Here's the Quantuition on why, using today's actual VIX Decomposition print



1. The Slide (Sticky Strike: -0.19)

As SPX climbed toward 7173, we slid down the vol curve.

The mechanic: think of the surface as a hill. Fear stayed flat. VIX still dropped — because ATM rolled to cheaper strikes as spot moved up.

The result: bought a call this morning? The slide was a hidden tax. Direction was right. The plumbing shaved your premium anyway as you walked into lower-vol territory.



2. The Regime (Parallel Shift: -0.31)

Heavy hitter today. A change in the overall vol regime — the baseline cost of protection across the whole board.

The mechanic: calls, puts, ATM — all marked down at once. Collective exhale at the highs. Dealers dropped the price of pure vol everywhere.

The result: the vol crush. When the regime shifts lower like this, long options leak air even when SPX is deep green.



3. The Tails (Convexity: Down -0.08, Up +0.04)

Quick check on the wings — and they confirmed the calm story.

Downside convexity bled a touch. Upside ticked up. Nobody's reaching for crash protection. Nobody's chasing lottery upside in size either. The tails are quiet, which means there's no hidden hedging current running underneath the drift.



Now we take the screenshot off the wall and put it on the desk — here's how those four numbers actually shaped two very different trades today.

✂ Credit Spread vs. Long Call: Hand Grenade vs. Sniper Rifle

The 10-Delta Iron Condor — the Hand Grenade

This trade loved today. -0.19 slide plus -0.31 regime = a -0.50 total vol drop landing in your pocket.

Price drifted toward the short calls. Didn't matter. The vol shield held. Puts decayed into oblivion. In this kind of natural flow, the market is essentially cutting a check to the spread sellers.

The 30-Delta Long Call — the Sniper Rifle

Grind for the breakout buyers. To turn a real profit, delta had to outrun a -0.69 total VIX drag.

Market drifts to an ATH instead of launching — vol collapse eats the long call alive. The tape is rewarding short variance right now.

🎯 The Bottom Line

Today's print: regime shift -0.31, call skew basically zero (0.03), tails quiet on both ends. Translation? Nobody's panicking to buy upside. Nobody's hedging the downside either. Just a calm, quiet drift higher.

In a market like this, follow the path of least resistance. Sell the spreads. Let the vol regime do the heavy lifting.

Don't trade the price. Trade the plumbing.

🐕 Watch the flow. The vol doesn't lie.

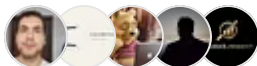
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